SolarEdge Technologies

SEDG | NASDAQ | 2026-10-07

Q4 2027 model ceiling: USD 1.15

Analytical Base 38/60 = 63 | Technology optionality / Watchlist

20x quarter-plus-next-three normalized GAAP OP including SBC and D&A, less financial principal outstanding at the same end-window date as funded economic common shares. No cash addition. Eight operating outcomes, finite funding continuity, capped-call premium-share adjustment and common floor inside each outcome.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 32.56 per share (2026-10-07 14:55 EDT); 61.526 million common shares (2026-08-03); estimated equity capitalization USD 2,003.3 million. Archived Stock Analysis quote; legal common from June10Q cover; not diluted model shares. This dated common-share snapshot is separate from forecast diluted shares.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	-3.9	20x	69.637	1.15

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated solar plus probability-weighted SST; GAAP expense scope, no adjusted-EBITDA valuation.. 20x quarter-plus-next-three normalized GAAP OP including SBC and D&A, less financial principal outstanding at the same end-window date as funded economic common shares. No cash addition. Eight operating outcomes, finite funding continuity, capped-call premium-share adjustment and common floor inside each outcome.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Thesis

SolarEdge has a credible claim to participate in high-voltage data-center power. It already designs DC conversion, protection, controls and high-volume products, and its September Investor Day moved the discussion beyond a generic AI-power opportunity. The company demonstrated its medium-voltage conversion stage under load and laid out a complete supply boundary through conversion and protected distribution. The investment case still depends on converting that engineering into accepted equipment, recurring gross profit and sufficient cash to fund the ramp.

The current model values fully expensed operating profit, including stock compensation and depreciation. It does not capitalize the issuer's adjusted EBITDA target. On that basis, the Q4 2027 ceiling is approximately **$1.15 per share**, while the reference case without the positive and negative operating breadcrumbs is **Nil**. This does not mean that the company or its engineering has no value. It means that the selected early earnings window contains little distributable operating value after claims. The later modeled ceiling reaches about **$21.01 in Q4 2028** and **$30.84 in Q4 2029**, conditional on financing and technical execution. No market multiple has been increased to close the gap with the quoted stock price.

The analytical Base is **63/100**, from 38/60 raw points: Core 15, Cycle 5, TAM 9, Catalysts 4, Macro 7, Alpha 3 and Risk -5. The broad opportunity earns credit; customer financing, qualification, dilution and the note maturity prevent a higher score.

What the company sells and who pays

A typical SolarEdge installation combines panel-level DC power optimizers, a central inverter, monitoring and increasingly a battery. Optimizers regulate each panel's operating point and send data over the existing power wiring. The inverter converts the aggregate DC power to AC. This differs from a microinverter on each panel and from a conventional string inverter that operates without SolarEdge's module-level control. Batteries increase the equipment revenue per installation and allow energy to be stored or used when its local economic value is greater.

SolarEdge sells through distributors, installers and electrical wholesalers, as well as directly to larger installers and engineering firms. The customer's ability to obtain tax equity or other financing therefore affects orders even if household demand and energy savings look attractive. Software and monitoring support the hardware relationship; the current model does not invent a separate high-margin subscription business.

GAAP Revenues By Product Type

$M	Q2 25	Q3 25	Q4 25	Q1 26	Q2 26
Inverters	80.6	100.0	82.2	63.3	71.5
Optimizers	121.3	133.9	141.7	128.9	116.5
Batteries for PV applications	71.5	83.4	88.5	94.9	126.0
Others	16.0	22.9	23.0	23.5	32.3
Total Revenues	**289.4**	**340.2**	**335.4**	**310.5**	**346.2**

Reported product revenue and units; historical battery-volume definition differs from the current filing.

The Q2 supplement reports approximately $116.5M of optimizer revenue, $71.5M of inverter revenue, $126.0M of batteries and $32.3M of other revenue. These rounded figures should not be represented as undisclosed segment estimates. What is not disclosed is the separate gross margin of each category. The model's product margins are therefore explicit allocations that reconcile to consolidated gross profit.

Units Recognized as Revenue

	Q2 25	Q3 25	Q4 25	Q1 26	Q2 26
Inverters (000's)	86.2	92.7	98.8	50.5	62.6
Optimizers (000's)	2,641	2,947	2,871	2,438	2,486
Batteries (MWh)	225	230	280	331	426

Reported product revenue and units; historical battery-volume definition differs from the current filing.

Revenue divided by recognized units gives approximate blended Q2 ratios of $46.87 per optimizer, $1,142 per inverter and $296 per kWh of batteries. These are mix-dependent realization ratios, not product price lists. The supplement's older battery-volume comparison differs from the current 10-Q's restated operating metric; current-period 426 MWh agrees. We use the current filing for comparisons and do not infer an unexplained price increase from mismatched historical definitions.

The reference model assumes storage becomes 40%, 43%, 45% and 48% of core sales in 2027-2030, versus roughly 36% in Q2 2026. Optimizers remain 32% of the reference, with inverters, monitoring and other sales making up the balance. For a volume cross-check, selected optimizer realization falls from $46 in 2027 to $40 in 2030, batteries from $300 to $270 per kWh, while inverter realization rises from $1,150 to $1,225 as configuration changes. These proxies imply approximately 9.74M optimizers and 1.87 GWh of storage in 2027. They are consistent with a storage-led recovery rather than a sudden doubling of the installed solar market.

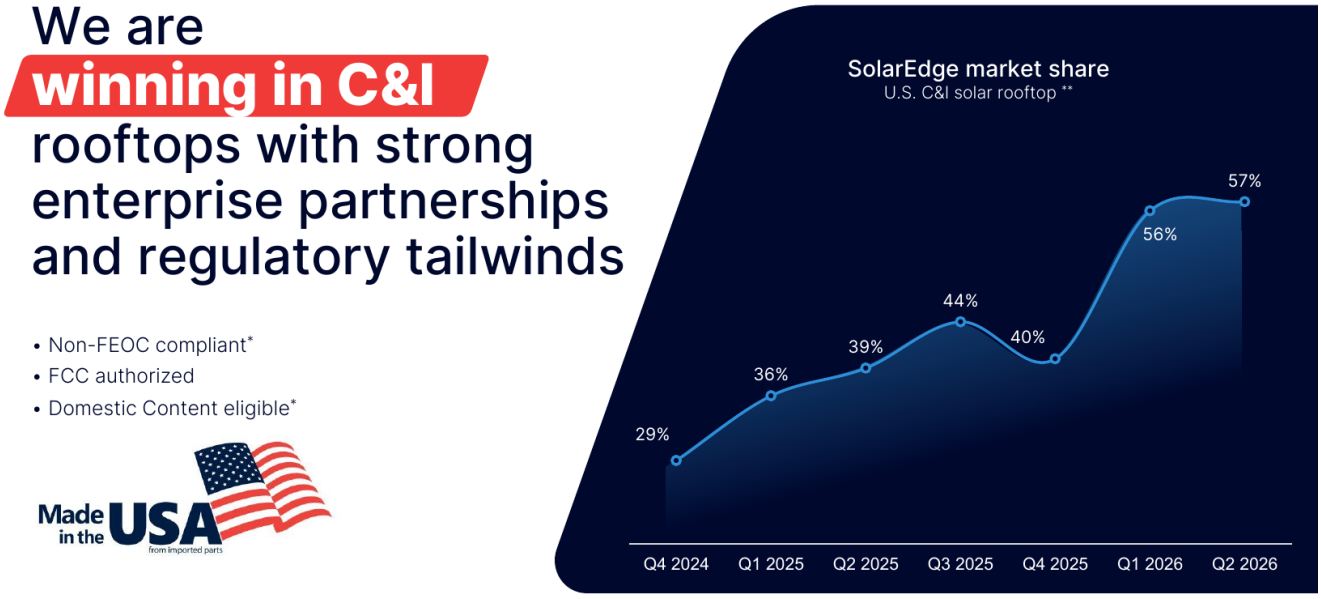
The solar evidence is stronger than a generic turnaround story

The useful evidence is the combination of Nexis, storage retrofits and the safe-harbor contracts. Management says a storage-equipped site produces about 2.5 times the hardware revenue of a PV-only site, and about 90% of its more than four million residential sites do not yet have storage. Neither statistic guarantees that customers will buy a battery or that the incremental revenue will carry the same margin as an optimizer.



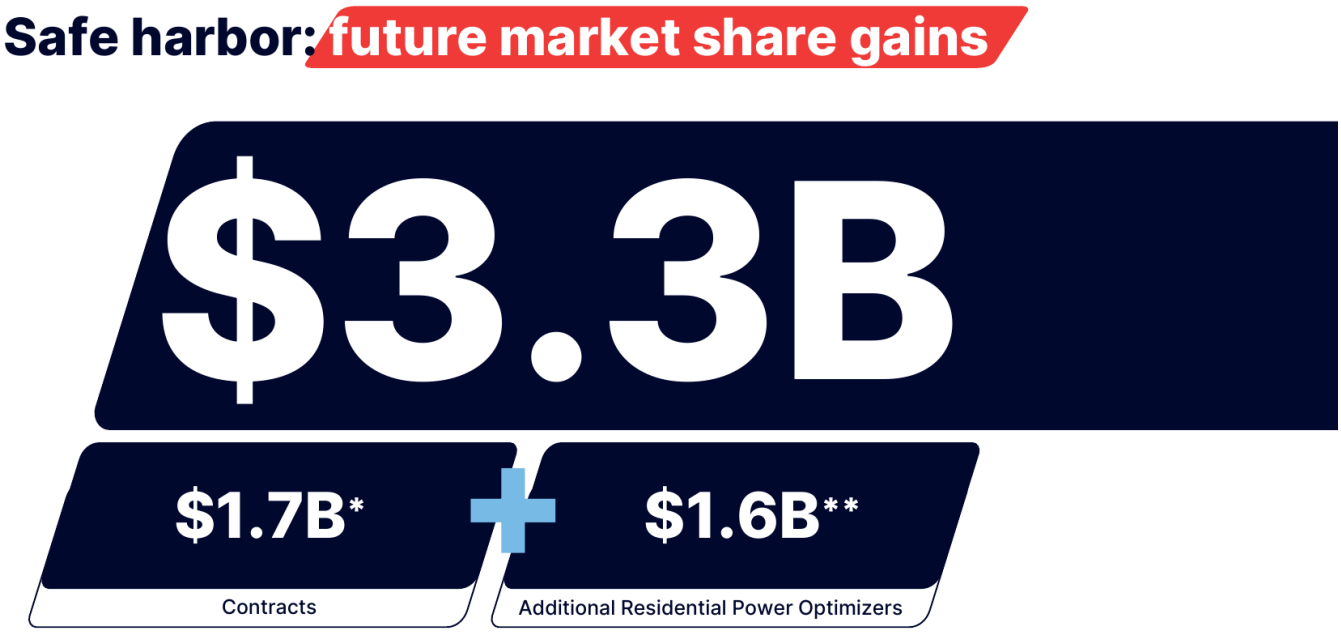
Storage can expand revenue per installed site; attachment and margins remain execution variables.

The reported C&I share gain is also narrower than a global market-share claim. SolarEdge estimates that its share of **U.S. commercial and industrial rooftop installations** rose from 29% in Q4 2024 to 57% in Q2 2026. Domestic production, installer familiarity, system safety and applicable compliance requirements can support that position. Regulation can change; this is not a permanent legal exclusion of competitors.



57% is the issuer estimate for U.S. C&I rooftop installations, not the global inverter market.

The September presentation describes **$1.7B of binding purchase commitments**, with percentage liquidated damages if customers cancel, for deliveries between 2027 and mid-2030. It then adds **$1.6B of expected residential optimizer attachment** to reach $3.3B. The second amount is not equally firm contracted backlog. Nor is an assumed battery attach rate an additional contract. Physical-work-test arrangements generally let customers buy when equipment is needed, so signed commitments do not create immediate revenue or free cash.



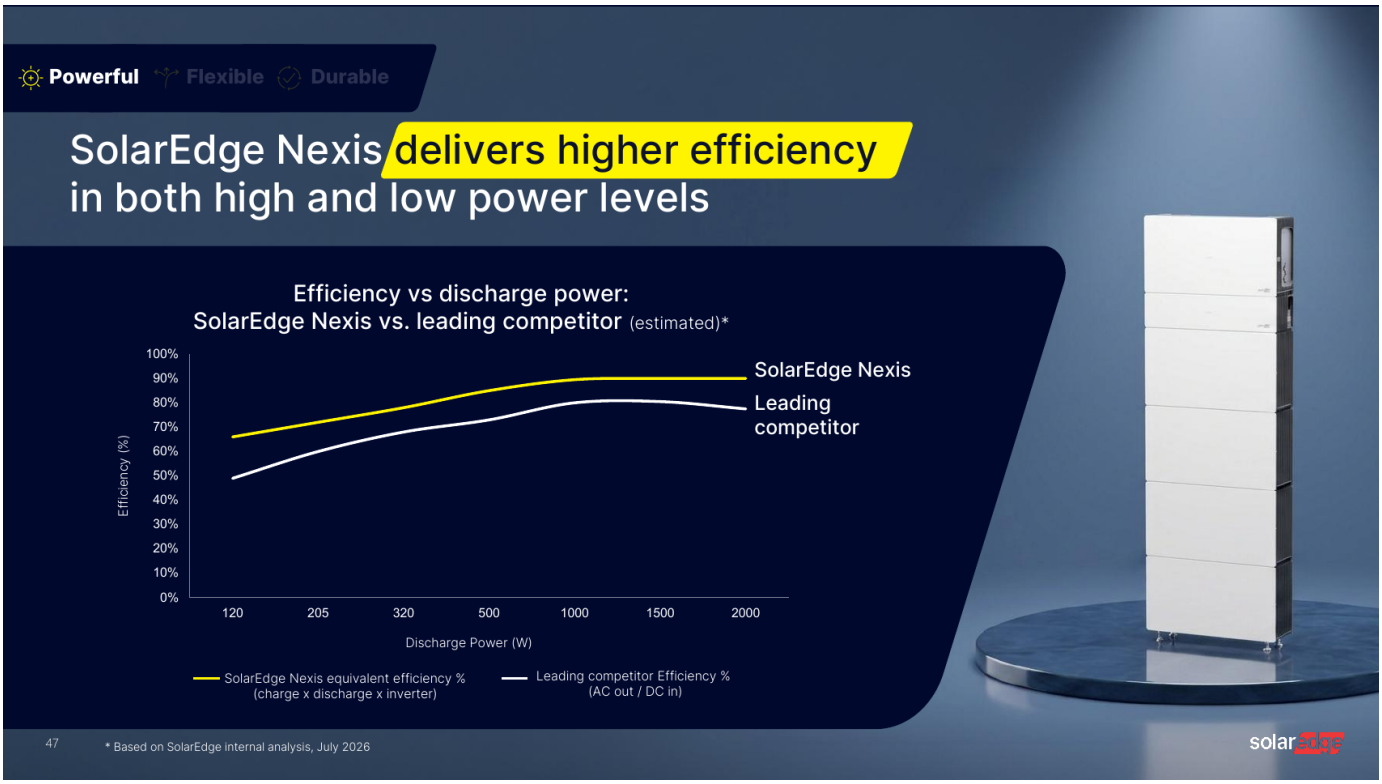
Only $1.7B is described as contracted; $1.6B is expected optimizer attachment.

The model's reference core sales are $1.4B, $1.5B, $1.56B and $1.62B for 2027-2030. A 65% probability branch adds $80M, $160M, $240M and $280M above that reference. The 2029 conditional case reaches the issuer's $1.8B core ambition. It includes the safe-harbor, Nexis, retrofit and C&I evidence once. It does not stack those four descriptions into four separate demand increments.

Conditional incremental sales earn a 35% fully expensed gross margin and incur 10% incremental operating cost. An additional mix and production-yield benefit rises to 1.5 percentage points of eligible reference sales by 2029. That produces $83.4M of conditional 2029 OP and $54.21M after the 65% probability. This is a bounded execution forecast, not management guidance. Price discounting, installer insolvency and cancelled contracts can prevent realization.

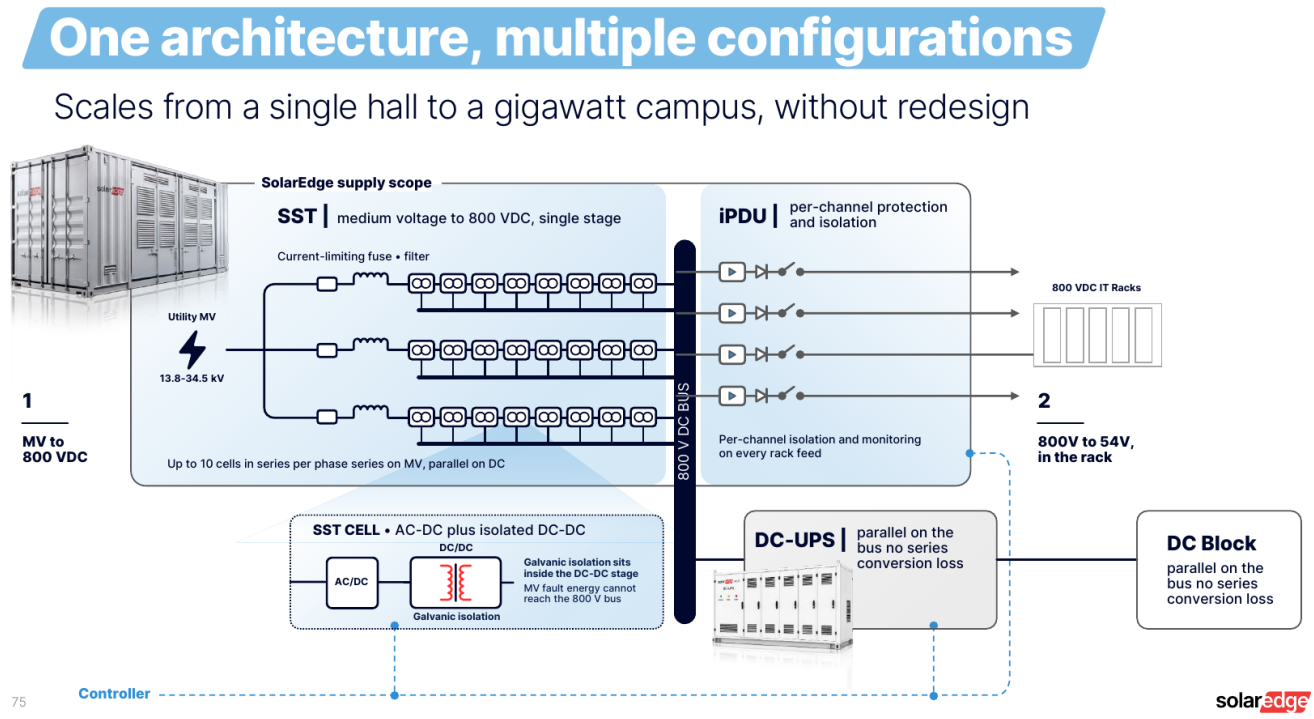
Why the engineering matters, and what remains unproved

Nexis emphasizes efficiency across actual operating loads, not simply a peak efficiency number. Residential loads and battery discharge often operate far below the system's nameplate rating. A design that retains efficiency in that range can improve lifetime customer economics. The issuer comparison is an internal analysis against an estimated competitor curve. Its separate lifetime savings examples use particular system sizes and California or European tariff assumptions; those dollar savings should not be generalized to every house.



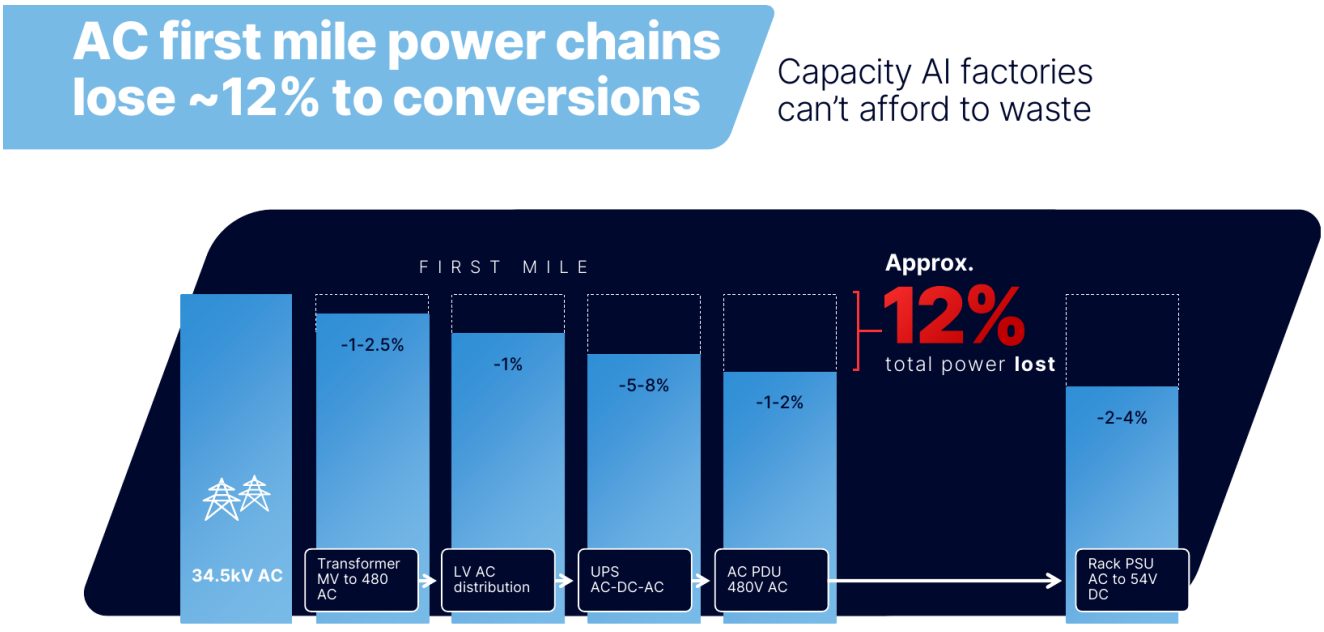
Low-load efficiency matters; this is an internal comparison with an estimated competitor.

The SST addresses a different market and a different qualification problem. The proposed system converts 13.8-34.5 kV AC to 800 VDC, using cascaded cells with a galvanically isolated DC-DC stage. It then coordinates the DC bus, protected rack feeds and parallel energy buffering. Infineon's September announcement names its silicon-carbide JFET technology for the protection devices. That is actual supplier evidence for a protection collaboration, but it does not disclose an awarded customer, a bill-of-materials dollar amount or a finished system order.

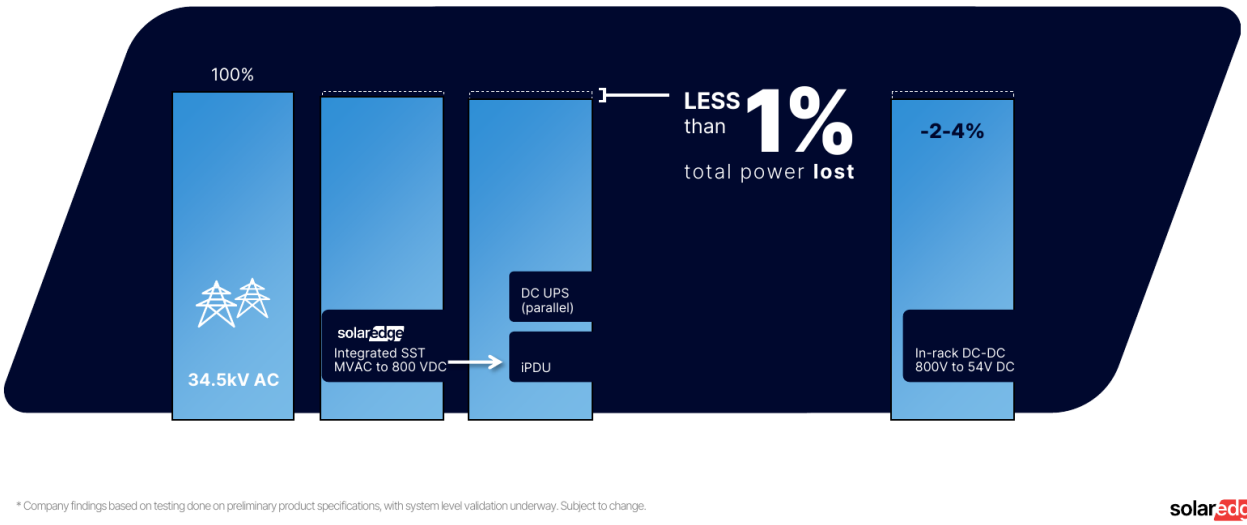


Cell conversion, galvanic isolation, DC-UPS and iPDU have distinct physical functions.

SolarEdge's claimed greater-than-99% result concerns the preliminary medium-voltage-to-DC architecture, with system validation continuing. The company's comparison to a legacy AC chain uses specific assumed losses. The diagram still shows a separate 2-4% downstream in-rack conversion loss. It would be incorrect to describe the complete path to the chip as greater than 99% efficient, or to compare different physical boundaries without adjustment.



Legacy-chain comparison assumptions; conversion boundaries must match.



Less than 1% first-mile target excludes the displayed downstream 800-to-54V losses.

The September whitepaper makes the limits particularly clear. NVIDIA supports an open, multi-vendor ecosystem; the SolarEdge implementation is a candidate, not a procurement approval or exclusive architecture. DC does not naturally cross zero as AC does. Fault-current limiting, interruption, reverse-current blocking, residual-current sensing, insulation monitoring and verifiable isolation must work as a coordinated system. Galvanic isolation reduces one route for fault propagation but does not eliminate insulation failures, capacitance, parallel-source energy or every credible fault.

The paper identifies unresolved validation and standards work, including line-to-ground hazards, leakage measurements, residual-device trip behavior, EMI immunity and arc testing. High-resistance midpoint grounding is one design choice. It is not an NVIDIA requirement, and grounding impedance alone is not adequate personnel protection at the rack interface.

13.2 Where no standard reaches

These items include both standards gaps and validation gaps. The proposed engineering controls require agreed test methods, evidence, and independent review before coverage can be claimed.

Gap	Position today	What the industry needs
Line-to-ground hazard assessment	Published DC arc flash work addresses the line-to-line case and explicitly excludes line-to-ground, because it requires the grounding scheme.	An assessment method for the line-to-ground case. Sections 4.3 and 4.6 of this paper propose the basis.
System leakage characterization	Leakage behavior of converters, filters and storage on an 800 VDC bus is not characterized, so the allowance behind the grounding impedance is an engineering judgment rather than a measurement. The margin at the design point is wide, so the value is not sensitive to it, but the figure should be measured. SolarEdge intends to measure its own equipment.	A common measurement protocol across equipment classes, and an agreed end-of-life insulation resistance requirement per branch. SolarEdge is willing to co-lead the protocol and to contribute the first dataset.
Parallel arc detection	UL 1699B defines Type 2 and Type 3 without widespread listings. IEC 63027 places parallel arcs out of scope.	A test method and a listing route.
Incident energy for DC	IEEE 1584 is validated for AC only. NFPA 70E gives informative DC guidance and does not credit electronic current limiting.	A validated method for current-limited electronic sources.
Definition of an interrupting device	No agreement on whether electronic interruption with galvanic isolation satisfies the requirement, or whether a separately verifiable open gap is required.	A definition. It determines the physical content of every branch.
Device function designations	None exist for DC protection functions.	A convention. Section 10 proposes a starting point.
Residual-current devices for this regime	IEC 62423 and DIN VDE 0126-1-1 do not cover 800 V at a 500 Ω body, the resulting 1.6 A, or the lower fault currents beneath it. No standard specifies a trip characteristic for a DC ground fault at this voltage.	A residual-device standard, or an extension of an existing one, that reaches 800 VDC. SolarEdge will propose a derived trip characteristic as a contribution to that discussion, following independent safety review and certification-body acceptance.
DC arc-flash test method	No validated method exists, and NFPA 70E does not credit electronic current limiting.	A test method. With a defined architecture and a defined grounding strategy the response can now be tested in a controlled environment, and SolarEdge intends to propose a protocol as its next contribution.
Electromagnetic interference on residual detection	The immunity of residual measurement under specific converter operating states is not characterised, and the discrimination floor is set by installed displacement current rather than by the sensor.	Measured immunity criteria and an agreed nuisance-trip definition for converter-fed DC systems.

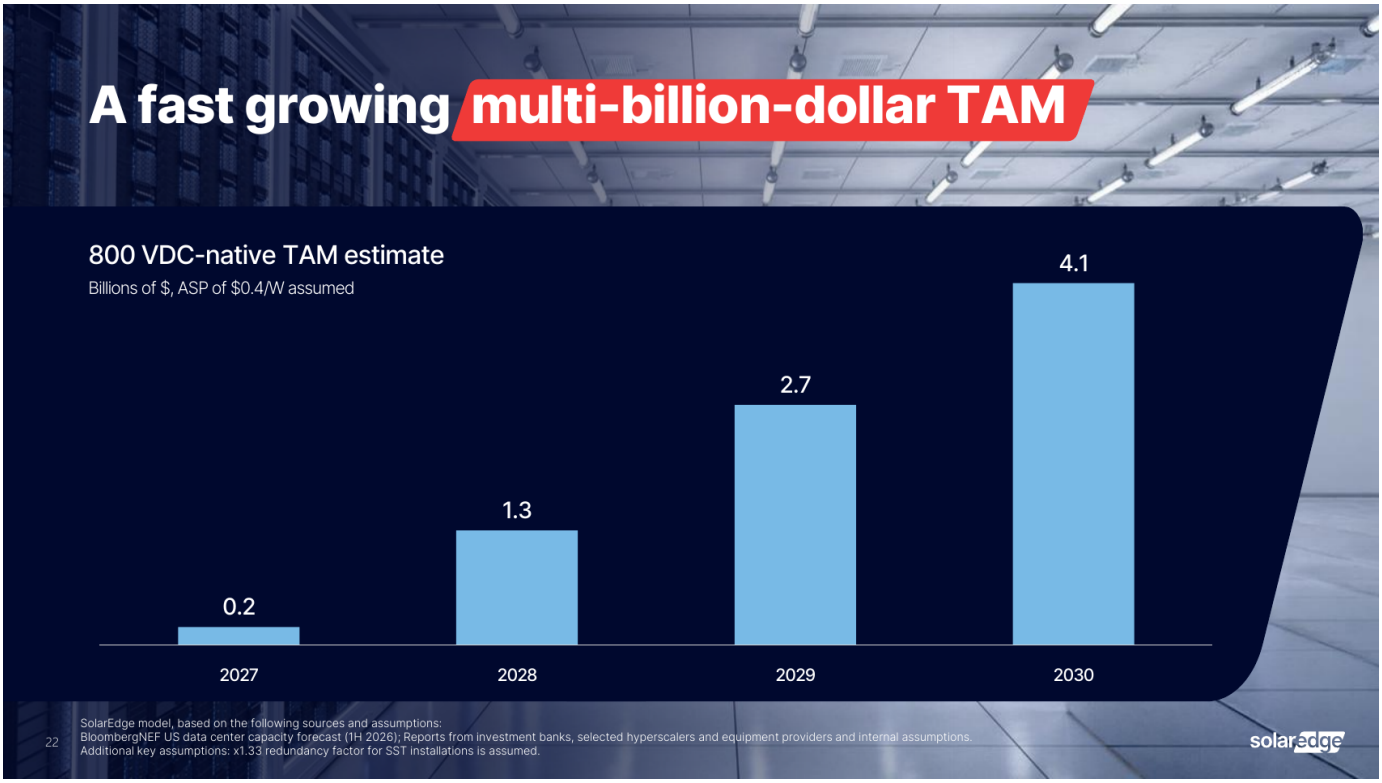
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Original open-validation and standards gaps. These are not proof of certification.

These are economically material constraints. They can lengthen customer qualification, change the number of protection components, increase service expense or reduce accepted saleable output. Existing solar shipments and factory floor space do not establish qualified SST capacity. The model recognizes development evidence with a positive probability, while retaining the costs and delays required to commercialize it.

Turning accepted capacity into revenue and profit

The issuer’s SST TAM rises from $0.2B in 2027 to $4.1B in 2030 using its own assumptions about adoption, $0.40 per watt and redundancy. That is a market scenario. The company’s separate $600M revenue target for 2029 is not derived here by blindly taking a percentage of TAM.

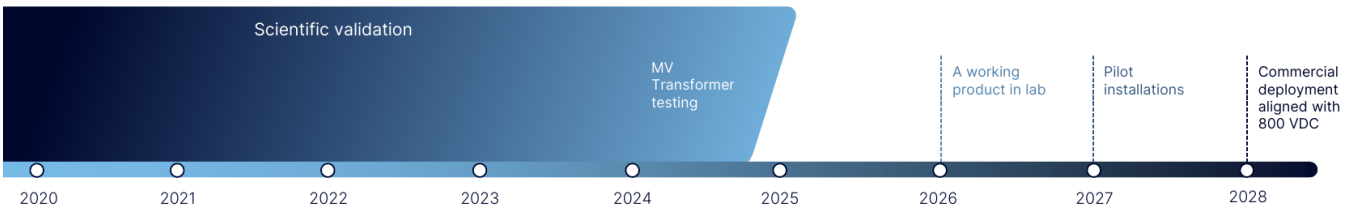


Issuer TAM uses its own adoption, $0.40/W and redundancy assumptions; no automatic company capture.

The selected commercial outcome uses 250 MW of accepted supplier capacity in 2028, 1.5 GW in 2029 and 2.5 GW in 2030. The 2028 sequence is 0, 25, 75 and 150 MW. The selected system-wallet price is $0.40/W, falling to $0.38/W in 2030, within a $0.30-$0.40/W proxy range. Delivered capacity already represents the sold equipment scope; there is no second 1.33-times redundancy multiplier.

A **45% probability** applies to that outcome. The conditional 2028 case generates $100M of revenue but only $4M of OP after 30% gross margin, 10% variable commercial cost and $16M of fixed deployment cost. In 2029, $600M of sales at 40% gross margin, less $60M variable cost and $20M fixed cost, gives $160M conditional OP, or **$72M weighted OP**. The 2027 case incurs $8M of pilot and customer-validation costs without volume revenue. The reference already pays the core research team, so this is incremental customer deployment expense.

On track for commercialization with NVIDIA's next-gen rollout



78 Expected - subject to change
Based on NVIDIA's publicly disclosed roadmap. No partnership, endorsement, or affiliation with NVIDIA is implied.

Lab, pilots and deployment are separate milestones; no NVIDIA procurement commitment.

The sold configuration might be a full 5 MW container or a partial system. The model treats conversion, distribution, protection and controls as one selected wallet. It does not add separate SSCB or iPDU sales on top of the same target. SolarEdge's management target explicitly excludes SST 45X benefits. The current AC-to-DC system description also does not establish the as-sold qualifying solar-inverter function. Accordingly, no extra SST credit is modeled. This zero is based on product and legal-scope mismatch and the existing economics, not a requirement to wait for official confirmation of every future opportunity.

A real GAAP reconciliation is necessary

Q2 sales were $346.245M, gross profit $95.152M and operating expenses $111.198M. Reported operating loss was $16.046M. Removing the $13.3M IEEPA refund increases that loss to $29.346M. The quarter also included $11.525M of warranty-estimate releases; removing those as an additional diagnostic gives a $40.871M loss. The model does not repeat that release mechanically.

The Q3 issuer midpoint is $325M revenue, 24% non-GAAP gross margin and $88.5M non-GAAP operating expenses, before tariff refunds. A recent $3.548M gross-profit accounting difference scaled to revenue, together with $16.25M of recurring GAAP expense additions, bridges to approximately **$30.08M of normalized GAAP operating loss**. Stock compensation is a cost even when it does not immediately consume cash. Its share issuance is also included in economic dilution.

Appendix A : Reconciliations GAAP to Non-GAAP

Operating expenses (GAAP) to Operating expenses (Non-GAAP):

	Three months ended						Year ended	
	June 30, 2026	March 31, 2026	December 31, 2025	September 30, 2025	June 30, 2025	March 31, 2025	December 31, 2025	December 31, 2024
Operating expenses (GAAP)	111,198	123,324	122,781	107,293	147,624	120,262	497,960	831,084
Stock-based compensation - R&D	(8,403)	(8,061)	(8,442)	(10,681)	(9,856)	(15,911)	(44,890)	(62,546)
Stock-based compensation - S&M	(3,996)	(4,151)	(4,298)	(4,348)	(4,342)	(4,742)	(17,730)	(27,328)
Stock-based compensation - G&A	(3,605)	(4,033)	(3,546)	(2,897)	(1,059)	(6,401)	(13,903)	(25,425)
Amortization and depreciation of acquired assets - R&D	-	-	-	-	-	-	-	(1,000)
Amortization and depreciation of acquired assets - S&M	(116)	(116)	(116)	(116)	(116)	(424)	(772)	(1,599)
Amortization and depreciation of acquired assets - G&A	-	-	-	-	-	-	-	(6)
Amortization of stock-based compensation capitalized in assets	(109)	(110)	-	-	-	-	-	-
Discontinued operation	176	556	(6,989)	(316)	(27,069)	(1,522)	(35,896)	(3,293)
Restructuring charges	18	(371)	(423)	(426)	(867)	(2,613)	(4,329)	(5,607)
Assets impairment and disposal by abandonment	(6,646)	(970)	(3,135)	(672)	(1,967)	(224)	(5,998)	(251,823)
Gain (loss) from assets sales	-	(8,327)	(7,117)	(158)	(17,108)	662	(23,721)	(5,746)
Certain litigation and other contingencies	-	-	-	-	-	-	-	399
Acquisition costs	-	-	-	-	-	-	-	(9)
Operating expenses (Non-GAAP)	88,517	97,741	88,715	87,679	85,240	89,087	350,721	447,101
% from Revenues (Non-GAAP)	25.6%	31.5%	26.6%	25.8%	30.3%	42.0%	30.1%	49.7%

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SBC and ordinary costs remain expenses in this model.

The September 2029 slide reports $2.4B of revenue, 35% non-GAAP gross margin, $360M EBIT and $432M adjusted EBITDA. Its printed $1.566B COGS implies $834M GP, while it separately prints $840M. The $6M discrepancy and inconsistent expense/depreciation wording prevent an exact mechanical GAAP conversion. Our model reconciles its own product GP and operating costs and does not value the displayed EBITDA at an operating-profit multiple.

The model: P&L summary, 2026E to 2029E

Metric	2026 Target*	2029 Target	3-Yr CAGR / Δ
Non-GAAP Revenue	$1,290M	$2,400M	+23%
Non-GAAP COGS	$923M	$1,566M	+19%
Non-GAAP Gross Profit	$367M	$840M	+32%
Non-GAAP Gross Margin %	28%	35%	+7pt
Non-GAAP OPEX	$367M	$480M	+9%
OPEX % of Revenue	28%	20%	-8pt
EBIT	$0M	$360M	N/A%
EBIT %	0%	15%	+15pt
Adj EBITDA	$20M	$432M	+174%
Adj EBITDA Margin %	2%	18%	+16pt

90 * 2026 including IEEPA refund impact of approximately 4%

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Attributable non-GAAP targets. Printed 2029 COGS and GP differ by $6M; use reconciled analyst arithmetic.

Active revenue/OP are $1,417M/-$57.695M in 2027, $1,611.5M/$17.6875M in 2028, $1,947M/$127.78M in 2029 and $2,189M/$145.46M in 2030. These forecasts include a 25% probability of a combined core stress: 10% lower reference sales and 1.5 points lower gross margin, with only partial operating-cost savings. The 2030 reference separately reduces solar manufacturing credits by 25%; the stress does not charge that same statutory decline again.

Cash, claims and dilution constrain the common equity

June headline cash and investments of $601.640M include $54.660M of restricted cash. The funding model starts with $527.257M unrestricted cash and $19.685M securities. It reserves 30% of the $225.134M service performance obligations falling after 2030, rather than presenting all historically collected cash as freely distributable.

Appendix A : Reconciliations GAAP to Non-GAAP

Net cash provided by (used in) operating activities (GAAP) to Free cash flow (deficit) (Non-GAAP):

	Three months ended						Year ended	
	June 30, 2026	March 31, 2026	December 31, 2025	September 30, 2025	June 30, 2025	March 31, 2025	December 31, 2025	December 31, 2024
Net cash provided by (used in) operating activities (GAAP)	11,416	24,428	52,629	25,608	(7,799)	33,823	104,261	(313,319)
Purchases of property and equipment	(8,282)	(3,701)	(9,293)	(2,809)	(1,256)	(10,109)	(23,467)	(108,163)
Discontinued operation	-	-	-	-	-	(3,867)	(3,867)	-
Free cash flow (deficit) (Non-GAAP)	3,134	20,727	43,336	22,799	(9,055)	19,847	76,927	(421,482)

	Period ended		
	June 30, 2026	December 31, 2025	December 31, 2024
Cash, Cash equivalents and restricted cash at the end of the period	581,918	539,848	409,939
Marketable Securities & bank deposits	19,722	41,332	357,521
Gross Cash, Cash equivalents and investments (A)	601,640	581,180	767,460
Convertible debt	(337,000)	(337,000)	(684,500)
Loan	-	(15)	(1,070)
Total debt (B)	(337,000)	(337,015)	(685,570)
Total Net Cash equivalents and investments (A+B)	264,640	244,165	81,890

Headline liquidity includes restricted cash; FCF benefited from working-capital timing.

The model collects 70% of the $234.608M opening government receivable over four quarters, as a labeled realization assumption. New credits collect with a two-quarter delay. It does not assume another extension of supplier payment terms or cash liquidation of the vendor receivables and inventories. Existing deferred revenue recognized inside the model is removed from cash receipts because it was collected earlier. Net warranty runoff and the uninsured $13.749M legal provision are also paid. The insured $55M settlement is matched by insurer-funded escrow and is not charged again.

This conservative cash stress is below management's positive 2026 FCF expectation. It identifies what must be demonstrated through cash collections rather than claiming the company has announced a financing need. Funding success assumes access, if required, to at most $350M gross equity at $20 per share with 5% fees, maintaining $50M available cash. The eight operating outcomes require about $59.5M-$331.1M gross under these assumptions. Access is assigned 85% probability once for each complete path; failure has zero common value. There is no unlimited equity plug and no negative cash described as available.

The $337M notes mature July 1, 2029. The model pays principal in cash once. Each valuation uses debt and funded shares from the same end-window date: windows extending through repayment include the financing shares and remove the repaid principal. This avoids charging the old debt alongside the shares already issued to repay it. Cash is not added separately to value. It models only the conversion premium in shares, with a 90% retention haircut on the separate capped-call benefit between the roughly $34.32 strike and $48.84 cap. After the modeled settlement, premium shares remain outstanding. It does not simultaneously subtract all debt and add the full if-converted principal share count.

The legal starting common count is 61.525748M as of August 3. Economic shares additionally reserve all 4.315033M unvested RSUs, 1.365742M PSUs and 0.030828M options, then 0.30M per quarter for net new awards and employee purchases. Ungranted plan capacity is not outstanding stock. Financed shares and premium shares are then added only where applicable. The existing 2025 notes were already repaid; they are not a current claim.

The June 2026 10-Q says the holder-conversion condition was satisfied for Q3 2026, and unrestricted holder conversion begins April 1, 2029. July 1, 2029 cash-principal settlement is a selected scenario, not assured actual timing. Earlier exercise could accelerate liquidity needs and equity issuance; the current cash paths do not simulate that acceleration. Reassess the settlement election, hedge exercise and financing timetable on actual conversion evidence.

The July 2029 premium settlement uses a modeled forward-value proxy from Q3 2029-Q2 2030 operating profit and matching end-Q2 2030 claims and ordinary financed shares. Actual contractual observation prices can differ. Once calculated, the net premium shares remain outstanding, including a zero premium if that is the settlement outcome; no later option reserve is created.

Competition and decisive evidence

In solar and storage, the annual filing identifies Sungrow, Huawei, Sigenergy, SMA, Tesla, Enphase and Chint among relevant competitors. Product economics, reliability, installer support and financing matter alongside nominal conversion efficiency. In SSTs, Enphase’s GaN-based distributed architecture and established power-equipment suppliers provide alternatives. SolarEdge’s SiC choice emphasizes higher device voltage and fewer conversion cells; GaN can offer switching and integration advantages. Neither material alone proves the best whole-system reliability or profit margin.

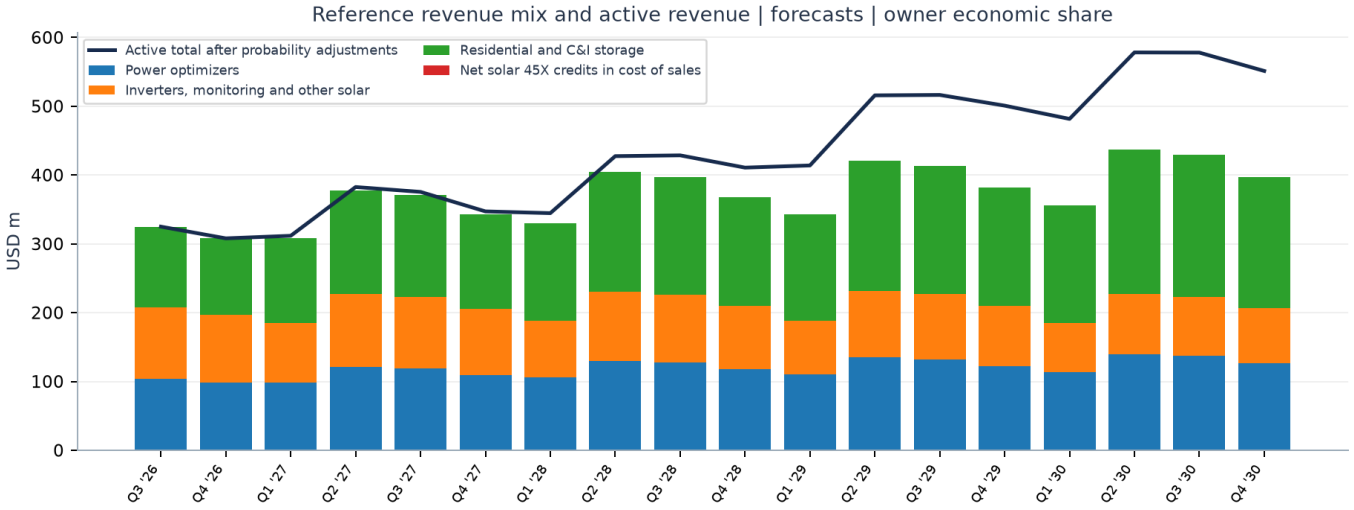
Infineon’s named protection collaboration is more concrete than an unnamed supplier inference. Existing manufacturing relationships with Flex and Jabil can help ramp production, but factory transfer, test coverage and yield still have to be demonstrated. No additional uncovered stock is introduced solely because it appears in this supply chain.

The next decisive evidence is full-voltage system validation, witnessed protection and insulation testing, paid pilot acceptance, explicit customer purchase scope, manufacturing yield, service economics and cash conversion of the safe-harbor business. A missed qualification milestone delays accepted MW and associated revenue; it does not leave the full sales forecast intact while adding only a vague risk paragraph. Sustained solar losses, weak credit collections or financing above the finite cap can invalidate the equity path even if the SST eventually works.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	15	Differentiated DC optimization, storage and protection expertise; SST qualification incomplete.
Cycle	5	Solar recovery remains financing-sensitive.
TAM	9	Storage attachment and medium-voltage DC conversion expand the wallet.
Catalysts	4	Full-voltage validation, customer pilots and safe-harbor deliveries.
Macro	7	Electricity scarcity helps; rates, tariffs, credits and geopolitics constrain.
Alpha	3	Engineering and GAAP-to-cash distinctions can change conclusions.
Risk classes	-5	Funding, dilution, debt maturity, customer stress and unproven SST scale.
Total	38/60	Rounded Base 63. Both artifact and new workbook row use this score; this is not a manual override.

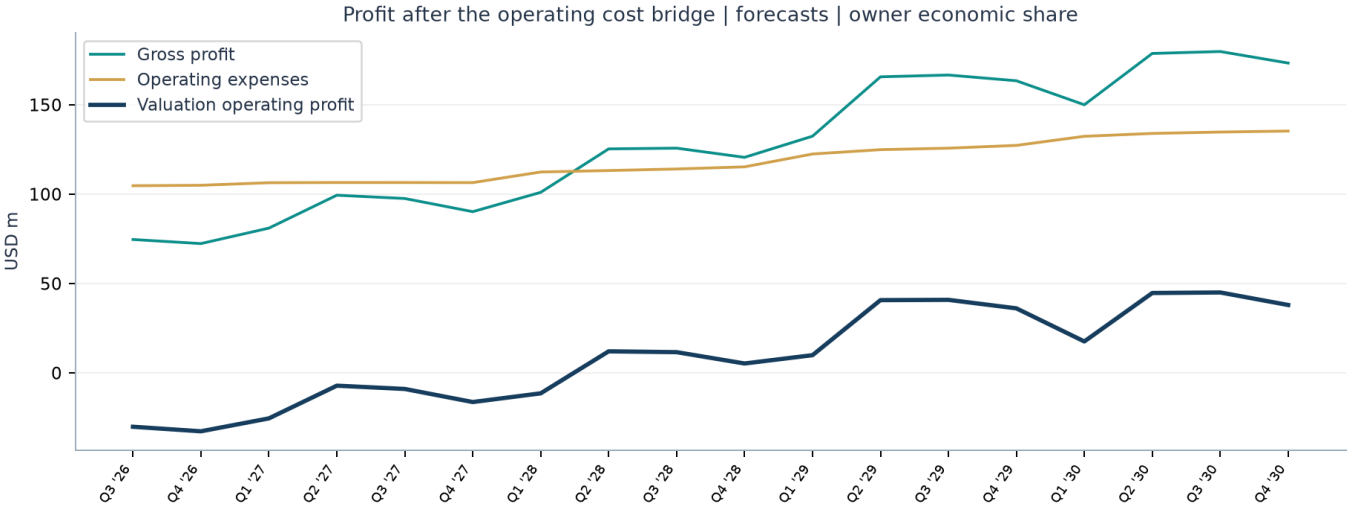
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	325.0	0.0	325.0
Q4 2026	308.0	0.0	308.0
Q1 2027	308.0	3.7	311.7
Q2 2027	378.0	4.6	382.6
Q3 2027	371.0	4.5	375.5
Q4 2027	343.0	4.2	347.2
Q1 2028	330.0	14.6	344.6
Q2 2028	405.0	22.5	427.5
Q3 2028	397.5	31.1	428.6
Q4 2028	367.5	43.3	410.8
Q1 2029	343.2	70.7	413.9
Q2 2029	421.2	94.6	515.8
Q3 2029	413.4	103.0	516.4
Q4 2029	382.2	118.7	500.9
Q1 2030	356.4	125.2	481.6
Q2 2030	437.4	140.8	578.2
Q3 2030	429.3	148.6	577.9
Q4 2030	396.9	154.4	551.3

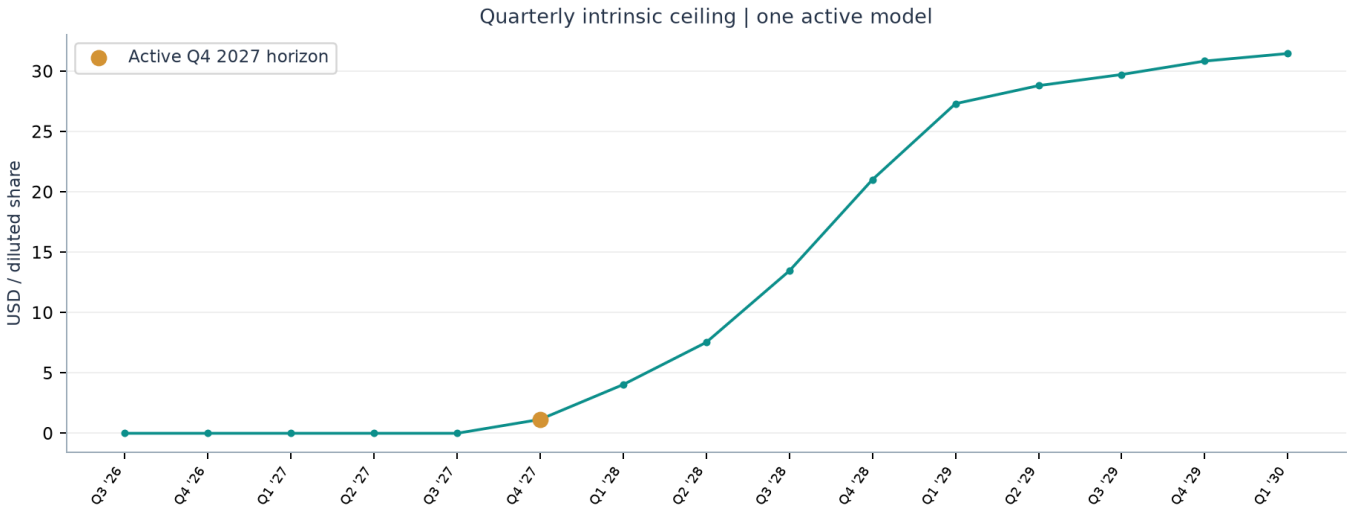
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	325.0	74.7	104.8	-30.1	-9.3%
Q4 2026	308.0	72.4	105.0	-32.6	-10.6%
Q1 2027	311.7	81.0	106.4	-25.4	-8.1%
Q2 2027	382.6	99.4	106.5	-7.1	-1.9%
Q3 2027	375.5	97.6	106.5	-8.9	-2.4%
Q4 2027	347.2	90.2	106.5	-16.3	-4.7%
Q1 2028	344.6	101.0	112.4	-11.4	-3.3%
Q2 2028	427.5	125.4	113.2	12.1	2.8%
Q3 2028	428.6	125.8	114.1	11.7	2.7%
Q4 2028	410.8	120.6	115.3	5.3	1.3%
Q1 2029	413.9	132.5	122.5	10.0	2.4%
Q2 2029	515.8	165.7	124.9	40.8	7.9%
Q3 2029	516.4	166.7	125.8	40.9	7.9%
Q4 2029	500.9	163.5	127.3	36.2	7.2%
Q1 2030	481.6	150.0	132.4	17.6	3.7%
Q2 2030	578.2	178.7	134.0	44.7	7.7%
Q3 2030	577.9	179.8	134.8	45.0	7.8%
Q4 2030	551.3	173.4	135.3	38.0	6.9%

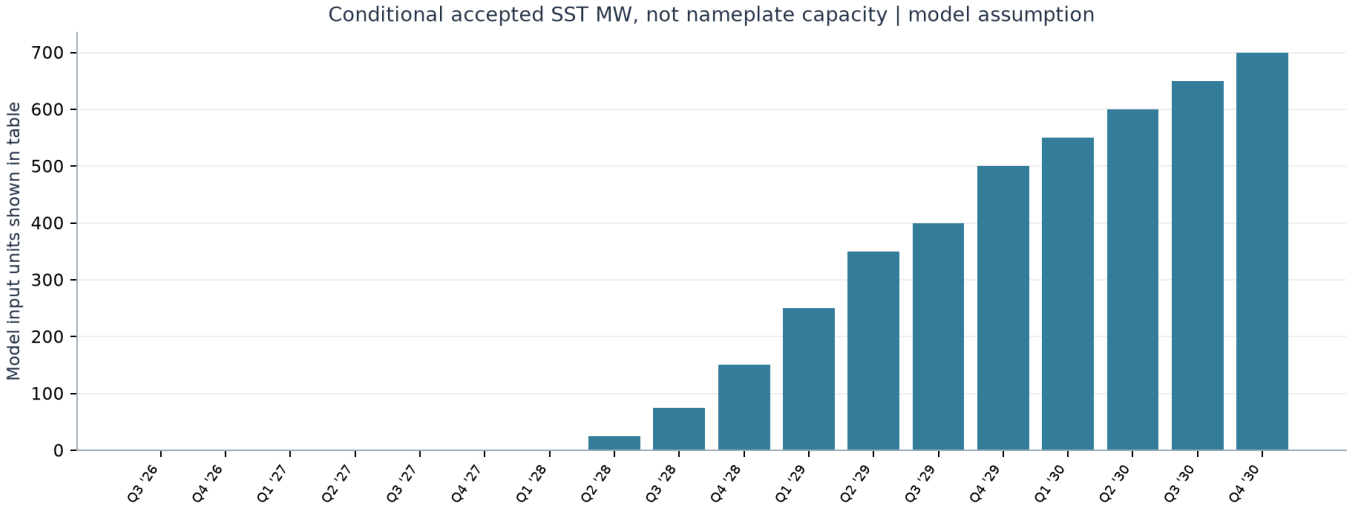
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	-95.2	20x	68.137	0.00
Q4 2026	Q4 2026 to Q3 2027	-74.1	20x	68.437	0.00
Q1 2027	Q1 2027 to Q4 2027	-57.7	20x	68.737	0.00
Q2 2027	Q2 2027 to Q1 2028	-43.7	20x	69.037	0.00
Q3 2027	Q3 2027 to Q2 2028	-24.5	20x	69.337	0.00
Q4 2027	Q4 2027 to Q3 2028	-3.9	20x	69.637	1.15
Q1 2028	Q1 2028 to Q4 2028	17.7	20x	69.937	4.03
Q2 2028	Q2 2028 to Q1 2029	39.0	20x	70.237	7.53
Q3 2028	Q3 2028 to Q2 2029	67.7	20x	70.537	13.46
Q4 2028	Q4 2028 to Q3 2029	96.9	20x	79.506	21.01
Q1 2029	Q1 2029 to Q4 2029	127.8	20x	79.806	27.31
Q2 2029	Q2 2029 to Q1 2030	135.5	20x	80.106	28.80
Q3 2029	Q3 2029 to Q2 2030	139.5	20x	80.485	29.72
Q4 2029	Q4 2029 to Q3 2030	143.6	20x	80.806	30.84
Q1 2030	Q1 2030 to Q4 2030	145.5	20x	81.106	31.46

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Conditional accepted SST MW, not nameplate capacity	Status
Q3 2026	0.000	Q3 guidance midpoint normalized to GAAP
Q4 2026	0.000	Model assumption, not issuer guidance
Q1 2027	0.000	Model assumption, not issuer guidance
Q2 2027	0.000	Model assumption, not issuer guidance
Q3 2027	0.000	Model assumption, not issuer guidance
Q4 2027	0.000	Model assumption, not issuer guidance
Q1 2028	0.000	Model assumption, not issuer guidance
Q2 2028	25.000	Model assumption, not issuer guidance
Q3 2028	75.000	Model assumption, not issuer guidance
Q4 2028	150.000	Model assumption, not issuer guidance
Q1 2029	250.000	Model assumption, not issuer guidance
Q2 2029	350.000	Model assumption, not issuer guidance
Q3 2029	400.000	Model assumption, not issuer guidance
Q4 2029	500.000	Model assumption, not issuer guidance
Q1 2030	550.000	Model assumption, not issuer guidance
Q2 2030	600.000	Model assumption, not issuer guidance
Q3 2030	650.000	Model assumption, not issuer guidance
Q4 2030	700.000	Model assumption, not issuer guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Power optimizers	104.0	9.3%	9.6
Q3 2026	Inverters, monitoring and other solar	104.0	9.3%	9.6
Q3 2026	Residential and C&I storage	117.0	20.0%	23.4
Q3 2026	Net solar 45X credits in cost of sales	0.0	0.0%	32.0
Q4 2026	Power optimizers	98.6	8.7%	8.6
Q4 2026	Inverters, monitoring and other solar	98.6	8.7%	8.6
Q4 2026	Residential and C&I storage	110.9	20.0%	22.2
Q4 2026	Net solar 45X credits in cost of sales	0.0	0.0%	33.0
Q1 2027	Power optimizers	98.6	11.2%	11.0
Q1 2027	Inverters, monitoring and other solar	86.2	11.2%	9.6
Q1 2027	Residential and C&I storage	123.2	22.0%	27.1
Q1 2027	Net solar 45X credits in cost of sales	0.0	0.0%	30.8
Q2 2027	Power optimizers	121.0	11.2%	13.5
Q2 2027	Inverters, monitoring and other solar	105.8	11.2%	11.8
Q2 2027	Residential and C&I storage	151.2	22.0%	33.3
Q2 2027	Net solar 45X credits in cost of sales	0.0	0.0%	37.8
Q3 2027	Power optimizers	118.7	11.2%	13.3
Q3 2027	Inverters, monitoring and other solar	103.9	11.2%	11.6
Q3 2027	Residential and C&I storage	148.4	22.0%	32.6
Q3 2027	Net solar 45X credits in cost of sales	0.0	0.0%	37.1
Q4 2027	Power optimizers	109.8	11.2%	12.3
Q4 2027	Inverters, monitoring and other solar	96.0	11.2%	10.7
Q4 2027	Residential and C&I storage	137.2	22.0%	30.2
Q4 2027	Net solar 45X credits in cost of sales	0.0	0.0%	34.3
Q1 2028	Power optimizers	105.6	12.4%	13.1
Q1 2028	Inverters, monitoring and other solar	82.5	12.4%	10.3
Q1 2028	Residential and C&I storage	141.9	25.0%	35.5
Q1 2028	Net solar 45X credits in cost of sales	0.0	0.0%	35.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2028	Power optimizers	129.6	12.4%	16.1
Q2 2028	Inverters, monitoring and other solar	101.2	12.4%	12.6
Q2 2028	Residential and C&I storage	174.2	25.0%	43.5
Q2 2028	Net solar 45X credits in cost of sales	0.0	0.0%	43.2
Q3 2028	Power optimizers	127.2	12.4%	15.8
Q3 2028	Inverters, monitoring and other solar	99.4	12.4%	12.3
Q3 2028	Residential and C&I storage	170.9	25.0%	42.7
Q3 2028	Net solar 45X credits in cost of sales	0.0	0.0%	42.4
Q4 2028	Power optimizers	117.6	12.4%	14.6
Q4 2028	Inverters, monitoring and other solar	91.9	12.4%	11.4
Q4 2028	Residential and C&I storage	158.0	25.0%	39.5
Q4 2028	Net solar 45X credits in cost of sales	0.0	0.0%	39.2
Q1 2029	Power optimizers	109.8	11.9%	13.1
Q1 2029	Inverters, monitoring and other solar	78.9	11.9%	9.4
Q1 2029	Residential and C&I storage	154.4	27.0%	41.7
Q1 2029	Net solar 45X credits in cost of sales	0.0	0.0%	38.7
Q2 2029	Power optimizers	134.8	11.9%	16.1
Q2 2029	Inverters, monitoring and other solar	96.9	11.9%	11.6
Q2 2029	Residential and C&I storage	189.5	27.0%	51.2
Q2 2029	Net solar 45X credits in cost of sales	0.0	0.0%	47.5
Q3 2029	Power optimizers	132.3	11.9%	15.8
Q3 2029	Inverters, monitoring and other solar	95.1	11.9%	11.4
Q3 2029	Residential and C&I storage	186.0	27.0%	50.2
Q3 2029	Net solar 45X credits in cost of sales	0.0	0.0%	46.6
Q4 2029	Power optimizers	122.3	11.9%	14.6
Q4 2029	Inverters, monitoring and other solar	87.9	11.9%	10.5
Q4 2029	Residential and C&I storage	172.0	27.0%	46.4
Q4 2029	Net solar 45X credits in cost of sales	0.0	0.0%	43.1
Q1 2030	Power optimizers	114.0	10.5%	11.9
Q1 2030	Inverters, monitoring and other solar	71.3	10.5%	7.5
Q1 2030	Residential and C&I storage	171.1	27.5%	47.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2030	Net solar 45X credits in cost of sales	0.0	0.0%	30.4
Q2 2030	Power optimizers	140.0	10.5%	14.6
Q2 2030	Inverters, monitoring and other solar	87.5	10.5%	9.2
Q2 2030	Residential and C&I storage	210.0	27.5%	57.7
Q2 2030	Net solar 45X credits in cost of sales	0.0	0.0%	37.3
Q3 2030	Power optimizers	137.4	10.5%	14.4
Q3 2030	Inverters, monitoring and other solar	85.9	10.5%	9.0
Q3 2030	Residential and C&I storage	206.1	27.5%	56.7
Q3 2030	Net solar 45X credits in cost of sales	0.0	0.0%	36.6
Q4 2030	Power optimizers	127.0	10.5%	13.3
Q4 2030	Inverters, monitoring and other solar	79.4	10.5%	8.3
Q4 2030	Residential and C&I storage	190.5	27.5%	52.4
Q4 2030	Net solar 45X credits in cost of sales	0.0	0.0%	33.8

Operating-cost derivation

Quarter	R&D including SST core engineering, SBC and D&A	Sales and marketing including SBC	G&A and recurring risk provision including SBC
Q3 2026	52.9	27.9	24.0
Q4 2026	53.0	27.9	24.0
Q1 2027	53.0	27.9	24.0
Q2 2027	53.0	27.9	24.0
Q3 2027	53.0	27.9	24.0
Q4 2027	53.0	27.9	24.0
Q1 2028	55.0	29.0	25.0
Q2 2028	55.0	29.0	25.0
Q3 2028	55.0	29.0	25.0
Q4 2028	55.0	29.0	25.0
Q1 2029	57.1	30.1	25.9
Q2 2029	57.1	30.1	25.9
Q3 2029	57.1	30.1	25.9
Q4 2029	57.1	30.1	25.9
Q1 2030	59.1	31.1	26.8
Q2 2030	59.1	31.1	26.8
Q3 2030	59.1	31.1	26.8
Q4 2030	59.1	31.1	26.8

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	SEDG-CORE	65%	0.0	0.0	0.0	0.0
Q3 2026	SEDG-SST	45%	0.0	0.0	0.0	0.0
Q3 2026	SEDG-STRESS	25%	0.0	0.0	0.0	0.0
Q4 2026	SEDG-CORE	65%	0.0	0.0	0.0	0.0
Q4 2026	SEDG-SST	45%	0.0	0.0	0.0	0.0
Q4 2026	SEDG-STRESS	25%	0.0	0.0	0.0	0.0
Q1 2027	SEDG-CORE	65%	17.6	8.6	1.8	4.5
Q1 2027	SEDG-SST	45%	0.0	0.0	2.0	-0.9
Q1 2027	SEDG-STRESS	25%	-30.8	-12.5	-2.5	-2.5
Q2 2027	SEDG-CORE	65%	21.6	10.6	2.2	5.5
Q2 2027	SEDG-SST	45%	0.0	0.0	2.0	-0.9
Q2 2027	SEDG-STRESS	25%	-37.8	-15.3	-3.0	-3.1
Q3 2027	SEDG-CORE	65%	21.2	10.4	2.1	5.4
Q3 2027	SEDG-SST	45%	0.0	0.0	2.0	-0.9
Q3 2027	SEDG-STRESS	25%	-37.1	-15.0	-3.0	-3.0
Q4 2027	SEDG-CORE	65%	19.6	9.6	2.0	5.0
Q4 2027	SEDG-SST	45%	0.0	0.0	2.0	-0.9
Q4 2027	SEDG-STRESS	25%	-34.3	-13.9	-2.7	-2.8
Q1 2028	SEDG-CORE	65%	35.2	16.3	3.5	8.3
Q1 2028	SEDG-SST	45%	0.0	0.0	4.0	-1.8
Q1 2028	SEDG-STRESS	25%	-33.0	-14.4	-2.6	-2.9
Q2 2028	SEDG-CORE	65%	43.2	20.0	4.3	10.2
Q2 2028	SEDG-SST	45%	10.0	3.0	5.0	-0.9
Q2 2028	SEDG-STRESS	25%	-40.5	-17.6	-3.2	-3.6
Q3 2028	SEDG-CORE	65%	42.4	19.6	4.2	10.0
Q3 2028	SEDG-SST	45%	30.0	9.0	7.0	0.9
Q3 2028	SEDG-STRESS	25%	-39.8	-17.3	-3.2	-3.5
Q4 2028	SEDG-CORE	65%	39.2	18.1	3.9	9.2

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2028	SEDG-SST	45%	60.0	18.0	10.0	3.6
Q4 2028	SEDG-STRESS	25%	-36.8	-16.0	-2.9	-3.3
Q1 2029	SEDG-CORE	65%	52.8	23.6	5.3	11.9
Q1 2029	SEDG-SST	45%	100.0	40.0	15.0	11.2
Q1 2029	SEDG-STRESS	25%	-34.3	-15.4	-2.7	-3.2
Q2 2029	SEDG-CORE	65%	64.8	29.0	6.5	14.6
Q2 2029	SEDG-SST	45%	140.0	56.0	19.0	16.7
Q2 2029	SEDG-STRESS	25%	-42.1	-19.0	-3.4	-3.9
Q3 2029	SEDG-CORE	65%	63.6	28.5	6.4	14.4
Q3 2029	SEDG-SST	45%	160.0	64.0	21.0	19.4
Q3 2029	SEDG-STRESS	25%	-41.3	-18.6	-3.3	-3.8
Q4 2029	SEDG-CORE	65%	58.8	26.3	5.9	13.3
Q4 2029	SEDG-SST	45%	200.0	80.0	25.0	24.8
Q4 2029	SEDG-STRESS	25%	-38.2	-17.2	-3.1	-3.5
Q1 2030	SEDG-CORE	65%	61.6	26.9	6.2	13.5
Q1 2030	SEDG-SST	45%	209.0	87.8	26.9	27.4
Q1 2030	SEDG-STRESS	25%	-35.6	-15.0	-2.9	-3.0
Q2 2030	SEDG-CORE	65%	75.6	33.0	7.6	16.5
Q2 2030	SEDG-SST	45%	228.0	95.8	28.8	30.1
Q2 2030	SEDG-STRESS	25%	-43.7	-18.4	-3.5	-3.7
Q3 2030	SEDG-CORE	65%	74.2	32.4	7.4	16.2
Q3 2030	SEDG-SST	45%	247.0	103.7	30.7	32.9
Q3 2030	SEDG-STRESS	25%	-42.9	-18.1	-3.4	-3.7
Q4 2030	SEDG-CORE	65%	68.6	30.0	6.9	15.0
Q4 2030	SEDG-SST	45%	266.0	111.7	32.6	35.6
Q4 2030	SEDG-STRESS	25%	-39.7	-16.7	-3.2	-3.4

Enterprise-to-equity reconciliation

20x quarter-plus-next-three normalized GAAP OP including SBC and D&A, less financial principal outstanding at the same end-window date as funded economic common shares. No cash addition. Eight operating outcomes, finite funding continuity, capped-call premium-share adjustment and common floor inside each outcome.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	351.8	0.0	351.8	0.00
Q4 2026	Q3 2027	350.7	0.0	350.7	0.00
Q1 2027	Q4 2027	349.6	0.0	349.6	0.00
Q2 2027	Q1 2028	348.5	0.0	348.5	0.00
Q3 2027	Q2 2028	347.4	0.0	347.4	0.00
Q4 2027	Q3 2028	346.3	0.0	346.3	1.15
Q1 2028	Q4 2028	345.2	0.0	345.2	4.03
Q2 2028	Q1 2029	344.1	0.0	344.1	7.53
Q3 2028	Q2 2029	343.0	0.0	343.0	13.46
Q4 2028	Q3 2029	4.9	0.0	4.9	21.01
Q1 2029	Q4 2029	3.8	0.0	3.8	27.31
Q2 2029	Q1 2030	2.7	0.0	2.7	28.80
Q3 2029	Q2 2030	1.6	0.0	1.6	29.72
Q4 2029	Q3 2030	0.5	0.0	0.5	30.84
Q1 2030	Q4 2030	0.0	0.0	0.0	31.46

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

SolarEdge operating outcomes and finite financing

Eight coherent operating outcomes combine core recovery, SST commercialization and core stress. The common-equity floor precedes probability weighting. Funding continuity is 85%, applied once; failure receives zero common value. Minimum available cash is supported by modeled uncommitted equity, not committed financing.

Q4 2027 bits	Operating probability	F4Q OP	Funded ceiling	Full-path equity raised	Minimum cash
000	14.44%	-21.8	0.00	151.2	50.0
001	4.81%	-73.1	0.00	304.5	50.0
010	11.81%	-27.8	0.00	225.7	50.0
011	3.94%	-79.1	0.00	331.1	50.0
100	26.81%	29.7	3.55	59.5	50.0
101	8.94%	-21.7	0.00	162.3	50.0
110	21.94%	23.7	1.82	138.4	50.0
111	7.31%	-27.7	0.00	237.8	50.0

Bits: core recovery / SST / core stress. Conditional funding permits up to USD350 million gross at USD20 per share, with 5% fees. Cash principal on the USD337 million note is paid in July 2029 once. Net conversion-premium shares, after the 90%-retained capped-call benefit, persist after settlement. No cash is added to the ceiling.

Dilution, principal and cash through the transition

Quarter	Base economic shares	Expected full shares	Note / lease claims	Expected cash	Lowest state cash
Q3 2026	67.237	67.237	355.1	416.4	415.6
Q4 2026	67.537	67.537	354.0	352.2	350.6
Q1 2027	67.837	67.837	352.9	357.1	348.3
Q2 2027	68.137	68.137	351.8	350.2	341.8
Q3 2027	68.437	68.437	350.7	328.3	307.1
Q4 2027	68.737	68.737	349.6	319.3	267.1
Q1 2028	69.037	69.037	348.5	299.9	227.2
Q2 2028	69.337	69.337	347.4	246.1	179.9
Q3 2028	69.637	69.637	346.3	240.6	146.1
Q4 2028	69.937	69.937	345.2	252.8	127.4
Q1 2029	70.237	70.237	344.1	258.7	114.4
Q2 2029	70.537	70.537	343.0	216.8	59.2
Q3 2029	70.837	79.506	4.9	50.0	50.0
Q4 2029	71.137	79.806	3.8	94.7	60.3
Q1 2030	71.437	80.106	2.7	140.8	50.0
Q2 2030	71.737	80.485	1.6	127.0	50.0
Q3 2030	72.037	80.806	0.5	163.0	50.0
Q4 2030	72.337	81.106	0.0	220.8	57.4

Base shares reserve existing awards and future net awards. Expected full shares also include finite financing and settled premium shares. Financial claims and each state denominator use the same window-end date. Each state uses its own end-window denominator; the expected share count cannot reproduce the weighted ceiling by simple division. Cash and funding paths must be rebuilt before adopting changed operating inputs.

Claim decisions, overlap and triggers

SEDG-CORE

probability: 0.65

source: September 10 Investor Day pp11-16,35,82,89-95; Q1/Q2 calls.

Conditional bound: Above reference core sales $1.4/$1.5/$1.56/$1.62B in 2027-2030, incremental $80/$160/$240/$280M. 2029 conditional bound $120-360M, selected $240M, reaches $1.8B core target. Incremental mix: 60% storage, 20% inverter and 20% optimizer equivalents; economic proxies, not disclosed segment forecasts.

bridge: Incremental sales at 35% fully expensed gross margin plus a 0.8/1.2/1.5/1.5 percentage-point mix/yield gain on eligible reference sales, less 10% sales in incremental support/engineering cost. 2029 conditional OP = $84+$23.4-$24=$83.4M; weighted OP $54.21M. No repeated markup for higher utilization.

overlap: The reference already grows core sales. Only the remaining gap to issuer core ambition is eligible. The $1.7B commitments, $1.6B expected optimizer attachment, battery retrofit and 57% C&I share all support this same branch; none is an additional revenue row. Cancellations, customer solvency, lower attachment and substitution remain possible.

triggers: Physical deliveries, repeat Nexis orders, realized storage ASP/cost, warranty experience and customer funding.

SEDG-SST

probability: 0.45

source: September 10 full powertrain release, Investor Day pp20-26,65-78,93 and management Q&A; September9 Infineon collaboration.

Conditional bound: Accepted capacity of 0-500 MW in 2028, selected 250 MW (0/25/75/150 quarterly); 1.5 GW in 2029 and 2.5 GW in 2030. ASP proxy $0.30-$0.40/W, selected $0.40, declining to $0.38 in 2030. These are supplier equipment MW, with no repeated redundancy multiplier. The 2029 $600M case is an issuer ambition, not a contract.

bridge: Conditional GM is 30%, 40% and 42% in 2028-2030. Incremental opex is 10% of sales plus $16M/$20M/$24M fixed yearly cost; 2027 incurs $8M pilot cost without volume sales. Conditional 2028 OP is $4M and 2029 OP is $160M. Weighted 2029 sales/OP are $270M/$72M. Extra capex is $12M/$20M/$28M/$32M in 2027-2030, with working capital and tax included.

overlap: Fullcontainer/partialsystem configuration is one wallet. SSCB, iPDU, controls and conversion cannot all be separately sold on top of the same $600M target. No NVIDIA contract inference. Solar domestictaxcredits are not automatically SSTcredits.

triggers: Full-voltage load tests, independent insulation and fault validation, pilot acceptance, defined supply scope, factory yield and service economics.

SEDG-STRESS

probability: 0.25

source: Q1/Q2 management discussion of weak TPO funding, bad debts and price competition; 10-Q tariff and FEOC risks.

Conditional bound: A 5-15% downside to reference core sales from 2027, selected 10%, plus 1.5 percentage points of gross-margin erosion on reference core sales, bounded at 0.5-3 points. This is one combined financing and price stress.

bridge: Lose 10% of reference gross profit including credits plus 1.5% of reference sales; save 8% of lost sales in variable opex. 2029 conditional OP impact is -$46.8M-$23.4M+$12.48M=-$57.72M; weighted impact -$14.43M.

overlap: One combined core stress. No repeated charge for each installer bankruptcy, price cut and tax-equity headline. A positive core execution outcome can coexist with a weak broader market.

triggers: Installations versus shipments, customer credit losses, receivable collections, discounts and credit realization.

SEDG-FUNDING

probability: 0.85

source: June liquidity, note maturity and noncash government/vendor receivables; future capital access is an analytical assumption.

Conditional bound: If required, up to $350M gross common equity at $20/share with 5% issuance cost. Maintain a $50M cash floor. All eight paths need $59.5M-$331.1M gross under the stated cash stress. Financing failure has 15% probability and zero common value. A cap breach also gives zero common value.

bridge: Cumulative financing shares enter the end-window denominator. Proceeds enter cash funding only, without a separate valuation bonus. Neither the financing nor its price is announced. The $20 placement price is a funding proxy.

overlap: Apply the funding event once to each complete path, not every quarter. The 70% recovery of opening government receivables occurs once and is separate from two-quarter collection of new credits.

triggers: Credit-transfer cash, working-capital conversion, financing timing, note settlement choice, issue price and capacity.

SEDG-HEDGE

probability: 0.9

source: 10-Q Note 11: separate capped calls do not automatically exercise on note conversion.

Conditional bound: Retain 90% of the contractual capped-call benefit; show 0-100% sensitivity. Principal $337M, 29.1375 shares per $1,000, conversion strike $34.3200 and hedge cap $48.84.

bridge: Cash principal is paid once in the selected July 2029 funding path. End-window debt and funded shares are matched: repaid principal is removed when repayment-financing shares enter the denominator. Only net premium shares are settled after the separate capped-call benefit. Pre-settlement windows solve the capped-premium dilution equation. Windows including settlement use the fixed settlement premium thereafter, even when it is zero. The 90% expected-benefit haircut is an analytical assumption.

overlap: Never deduct all debt while also adding the full principal if-converted share count. Do not deduct the $332.332M carrying amount a second time or reinstate expired 2025 notes.

triggers: Actual holder conversion, company cash/share settlement election, financing timetable, contractual observation prices and hedge exercise/counterparty results. June 2026 disclosure already established Q3 2026 holder-conversion eligibility.

SEDG-SST-45X

probability: 0

source: Investor Day Q&A excludes SST 45X from its target; the current MVAC-to-DC specification does not establish the qualifying as-sold PV inverter function.

Conditional bound: No SST credit in the selected economics. Commercial gross margins exclude it. Product classification, lawful function and retained benefit are unresolved.

bridge: Zero additional GP follows the function mismatch and the target economics already excluding the credit. This is not an official-confirmation gate. Reopen when credible configuration and tax-category evidence establishes a company bridge.

overlap: Existing solar 45X is a separate cost-of-sales reduction. Do not apply that credit to the SST container by analogy.

Remaining bounded uncertainties

- Product revenue and recognized units are reported in the Q2 supplement. Product gross margins, forecast mix and future ASPs are analytical allocations that reconcile to consolidated results; there is only one reportable segment.

- The 2029 targets are management scenarios. Slide 90 prints revenue $2,400M, COGS $1,566M and GP $840M, although revenue less COGS is $834M. Expense and depreciation wording also differs across slides 90/95. Our model uses consistent GAAP arithmetic.

- Q2 OP -$16.046M includes a $13.3M tariff refund: ex-refund OP is -$29.346M. Removing the $11.525M warranty estimate release as a further diagnostic gives -$40.871M. No repeated release is forecast. Q3 non-GAAP guidance is bridged to -$30.0803M GAAP OP using recent accounting differences.

- Future operating costs include SBC and D&A. Tariff refunds enter cash only, without recurring profit. Solar 45X is a COGS reduction, not revenue. The 2030 25% phase-down is explicit.

- The funding stress is below the issuer positive 2026 FCF expectation. It does not repeat supplier-payment extensions, collects only 70% of opening government receivables over four quarters, releases no vendor receivable or inventory cash, removes already-collected deferred sales from cash receipts and reserves 30% of post-2030 service obligations.

- Opening usable cash/securities are $546.942M; restricted cash $54.660M is excluded. The insured $55M settlement and matched insurer funding offset. Net $13.749M legal reserve is paid once.

- Net old-warranty runoff is a proxy: $10M quarterly in H2 2026, $6M in 2027, $4M in 2028, $3M in 2029 and $2M in 2030, in addition to future warranty costs already in GM. The exact aging is unknown. Office lease costs are inside OP; the $272.8M operating lease commitment is not another debt deduction. Finance lease principal separately repays $1.1M quarterly.

- The $350M gross financing cap, $20 placement price, 5% fee and 85% continuity are assumptions, not commitments. If access fails, common value is zero. No negative cash is reported as available.

- Economic shares reserve all existing RSUs, PSUs and options above 61.525748M legal common, then 0.30M quarterly net new award/ESPP shares. The 10.385M ungranted plan reserve is not issued equity. Existing awards are not added again on vesting.

- Notes permit cash, shares or combined settlement. Cash principal plus premium shares is one coherent scenario. Early conversion and make-whole provisions remain risks. The separate capped calls receive a 90% expected-benefit haircut; settlement shares are frozen after expiry.

- The archived quote is $32.56 at 14:55 EDT on October 7; legal common shares are dated August 3. Header market cap is not the model diluted equity value.

- SST efficiency boundaries, partial discharge, fault clearing and field reliability are distinct. NVIDIA procurement, approval and exclusivity are explicitly disclaimed. Accepted customer MW, yield, warranty and configuration prices remain unknown.

- The Q2 supplement shows 225 MWh of Q2 2025 batteries, while the current 10-Q operating metric shows 209 MWh and flags measurement changes. Current-period 426 MWh agrees. Do not infer historical ASP changes by mixing definitions.

- The June 10-Q discloses $19.171M of finance-lease liabilities in long-term liabilities but does not separately identify a current finance-lease portion in Note 10. The model uses the disclosed balance; any separately identifiable current principal must be added once when obtained. A $5.443M additional claim, equal to the entire unidentified Other current-liability line as an intentionally broad bound, would reduce an unfloored outcome by about $0.07 per economic share before continuity weighting.

- Financial claims and financed shares use the same end-window date. A window extending through the modeled July 2029 repayment includes the shares raised to finance repayment and excludes extinguished note principal. The principal remains a cash outflow once in each funding path. Quarter rows retain their own outstanding-principal schedule; valuation_claims selects the end-window balance.

- The June 2026 10-Q says the holder-conversion condition was satisfied for Q3 2026, and unrestricted holder conversion begins April 1, 2029. July 1, 2029 cash-principal settlement is a selected scenario, not assured actual timing. Earlier exercise could accelerate liquidity needs and equity issuance; the current cash paths do not simulate that acceleration. Reassess the settlement election, hedge exercise and financing timetable on actual conversion evidence.

- The July 2029 premium settlement uses a modeled forward-value proxy from Q3 2029-Q2 2030 operating profit and matching end-Q2 2030 claims and ordinary financed shares. Actual contractual observation prices can differ.

Once calculated, the net premium shares remain outstanding, including a zero premium if that is the settlement outcome; no later option reserve is created.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q2 10Q | 2026-08-05 | https://www.sec.gov/Archives/edgar/data/1419612/000117891326003854/zk2635807.htm | Archived SHA-256: 1d3e029cd86e3b1be910aef01613f1ef3d38a2cf96f915f43cb7cf406cf2fffe

[2] Annual Pdf | 2026-04 | https://www.sec.gov/Archives/edgar/data/1419612/000117891326002201/zk2635126.pdf | Archived SHA-256: 64f727659b44629998ae3ba95485cce44b944191a7f2c80e58031a18cf18e8d2

[3] Q2 Release | 2026-08-05 | https://investors.solaredge.com/news-releases/news-release-details/solaredge-announces-second-quarter-2026-financial-results | Archived SHA-256: eb16ab9f48290182196045 44d36b5f7fa23c6d2b1c946e00c5c7dc4422ee4703

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